

Epic Games: Nineteen Eighty-Fortnite

Group Case Study #1

August 3, 2026

Group 6

Daphne Olivera

Jesus Trevino Caballero

Monika Szucs

Samantha Vandenbossche

Travis Olenick

The Epic Games v. Apple litigation represents a watershed moment in digital platform economics, fundamentally challenging the pricing power of platform owners over their complementors. This analysis examines the case through the lens of platform monetization and pricing power, which are frameworks central to understanding how digital platforms extract value. The Apple App Store operates as a two-sided transaction platform where developers pay a 30% commission for access to Apple's 500 million iOS users, generating over \$18 billion in annual revenue with services margins exceeding 60%. Epic Games, by contrast, runs three distinct monetization systems: consumer microtransactions through Fortnite, B2B licensing through Unreal Engine, and developer commissions through the Epic Games Store at a 12% rate that reflects actual operating costs. Epic's strategic decision to challenge Apple's commission structure—while ultimately unsuccessful in proving Apple a monopolist—exposed the fragility of platform pricing power when confronted with coordinated developer resistance and regulatory scrutiny. The case demonstrates that platform pricing power is neither absolute nor unassailable; it is constrained by legal frameworks, competitive dynamics, and collective action by ecosystem participants.

Monetization Architecture: Apple

Who pays?

The Apple App Store operates as a classic two-sided transaction platform, intermediating between developers and users. The ones who ultimately pay are the app developers, who are charged a commission whenever they sell digital goods, services, or subscriptions through the App Store. This services category has become one of Apple's fastest-growing segments, outpacing growth in its hardware sales, such as the iPhone and other core products. It has proven to be a genuine cash cow, generating gross margins in excess of 60% in 2019, and climbing even higher in 2020. Apple's monetization strategy centers on extracting value through a commission on every digital transaction that takes place within its ecosystem. This began in 2009, when Apple introduced in-app purchases for paid apps and started taking a 30% cut of sales up front. The fee has not changed since 2009, without justification of why the percent cut is so high. In 2010, it went a step further, introducing App Store Review Guidelines that restricted how payment processing could happen. This effectively forced transactions through Apple's own in-app purchasing system, ensuring the company benefited directly from every sale. When Apple later extended these same in-app purchase rules to subscriptions, the change ultimately caused relatively little disruption. The 30% commission itself wasn't arbitrary: it was modelled partly on the iTunes Store's 70/30 revenue split with music labels, and positioned competitively against cable television companies, which typically charged commissions of around 35%. This process was believed by developers to inflate app prices. What's particularly interesting is Apple's choice to place this cost on developers rather than consumers, charging a percentage of each transaction rather than charging users a platform fee outright.

What they pay for?

For developers, the App Store's commission buys access to distribution, trust, and infrastructure that would be costly to build independently. It connects them to hundreds of millions of Apple users worldwide, most of whom are already embedded in the Apple ecosystem out of convenience and familiarity with Apple products, offering a level of reach few developers could replicate on their own. It also lends inherited credibility, since users trust that anything on the App Store will download and function reliably, and it hands off significant technical overhead in the form of fraud protection, app review, secure hosting, developer tools, and a frictionless In-App Purchase system that keeps users' payment information linked and ready to use. For users, that same commission is what makes the experience feel effortless: it funds the security, privacy protections, and review process that let them browse and buy without worrying about scams or broken apps, and it's why payments complete in a tap rather than a multi-step checkout. Because the App Store functions as the default destination for app discovery, users expect and find a wide variety and choice there, reinforcing the platform's dominant market share. In short, developers are paying for access to a trusted, high-reach marketplace with the infrastructure already built, while users are getting the convenience and safety that Apple's tight control over that same marketplace makes possible. Apple's goal is to provide customers with a wide range of high-quality apps and services to choose from, all within a safe and secure environment.

When?

Apple collects its commission each time a paid app, in-app purchase, subscription, or digital goods is purchased through the App Store's In-App Purchase (IAP) system. After Apple deducts its commission, the remaining revenue is paid to the developer. The deduction is made automatically before the developer receives their share of the payment. Apple has negotiated exceptions for certain businesses, such as Amazon Prime, allowing them to avoid the standard 30% commission. However, according to Exhibit 6, the specific conditions required to qualify for these exceptions are not clearly communicated.

Monetization Architecture: Epic Games**Who pays?**

Unlike Apple, Epic runs three separate monetization systems, each having a different payer. On the consumer side, Fortnite is free to download, and the ones who pay are players who choose to buy V-Bucks which is Epic's virtual currency that players can use to buy different items and the seasonal battle pass. This generated an estimated \$2.4 billion in microtransaction revenue in 2018 alone, with total Fortnite revenue reported above \$5 billion that year and \$4.2 billion the next year. On the developer side, Epic runs two separate monetization systems of its own. Third-party studios pay Epic royalty to use Unreal Engine, and separately, developers who choose to distribute through Epic Games Store pay Epic a 12% commission on sales. Epic is simultaneously a consumer seller through Fortnite, a B2B infrastructure licensor through Unreal Engine, and a platform operator competing directly with Apple, Google, and Valve through Epic Games Store.

What they pay for?

Fortnite players are paying for status and personalization rather than any competitive advantage. V-Bucks are used to purchase skins, dances, and emotes, they don't provide any gameplay edge: and with the Battle Pass they offer a structured sense of progression and exclusivity each season. So what's being monetized is identity and social signaling within a 350 million player community. Unreal Engine licensees are paying for access to a mature, high-performance piece of infrastructure such as real-time 3D rendering, cross-platform tools; that would be expensive to build in-house, with a royalty structure that scaled from free, to 5% above a revenue threshold, to eventually free until a title cleared \$1 million in gross revenue. Developers who choose the Epic Games Store over Steam are paying for distribution at cost. Sweeney publicly reverse-engineered the 12% rate from an estimated 5-7% cost of running a storefront for payment processing, bandwidth, and customer service. Plus a 5-7% margin for Epic, positioning it as a lean alternative to what Sweeney publicly called the inflated markups baked into Apple's and Steam's higher rates.

When?

Epic has three different triggers when collecting the money depending on the layer. On the consumer side, Epic collects the moment a player completes a V-Bucks purchase or Battle Pass transaction. On the licensing side, Epic collects the Unreal Engine royalty quarterly, and only once a title crosses the applicable revenue threshold, meaning that small or early-stage developers pay nothing until their game is already commercially successful. On the storefront side, Epic collects its 12% commission at the point of sale for any game or in-app purchase transacted through the Epic Games Store.

The Turning Point: Strategic Confrontation

Before August 2020, Epic and Apple had an unremarkable cooperative relationship. Epic launched Fortnite on the App Store in March 2018 and paid the standard 30% commission. By mid-2020, Fortnite generated an estimated \$40 million monthly in App Store sales.

The relationship fractured in June 2020 when Epic privately asked Apple for permission to use alternative payment processing. Apple refused ten days later. After a month of unresolved disagreements, Epic broke the relationship by shipping a concealed direct-payment hotfix on August 13, 2020. Epic privately asked Apple for permission to use an alternative payment processing but Apple refused ten days after this initial proposal.

When Sweeney announced Epic's plan to introduce a new payment option to Fortnite users that would bypass Apple's 30% commission requirements for in-game transactions, it was a strategic strike at the core of Apple's monetization architecture. Epic filed its antitrust lawsuit within hours and simultaneously launched the #FreeFortnite campaign to communicate the two-sided benefits of direct payment systems to the public, with the aim of gaining their support before Apple could retaliate.

Litigation Outcomes and Market Implications

Despite the support from major companies including Spotify and Microsoft, as well as an influential PR campaign, the ruling on September 10, 2021 was in favour of Apple on 9 out of 10 counts, concluding that Apple was not a monopolist, and Epic was ordered to pay Apple ~\$3.6 million back in commissions. On the issue of anticompetitive conduct, the court ruled Apple's anti steering provision violated California's Unfair Competition Law, ordering Apple to remove the anti steering provision within 90 days, setting a new legal precedent in the state of California.

Epic's strategy exposed Apple's cost structure, mobilized developer coalition, secured partial legal victory, and generated regulatory momentum. However, Epic overreached on market definition, failed on the monopoly claim, and had to pay for it. This exemplifies "winning by losing"—legal defeat producing strategic victory through regulatory catalyst effects.

While Epic Games v. Apple began as a legal feud between two corporate titans, its ultimate resolution signalled a shift in the broader mobile app ecosystem. Outside of Epic and Apple, millions of independent developers, media platforms, and digital service providers found themselves at a critical crossroads. The legal scrutiny over Apple's 30% commission structure and anti-steering rules dismantled long-standing operational norms, and inspired platform providers to think about how they can take pricing power back from Apple. This historic shift forced developers to completely re-evaluate their long-term distribution strategies and customer acquisition channels. Consequently, software companies must now carefully balance platform convenience against direct margin control to remain competitive.

The structural changes resulting from the lawsuit affected developers differently based on their scale and business model. Large-scale subscription services and high-volume publishers—such as Spotify, Netflix, and Match Group—gained significant financial relief. By leveraging anti-steering provisions to direct users toward external web-based payment processors, these established brands can bypass Apple's standard commission, directly capture customer billing details, and manage subscription churn more effectively. Conversely, for smaller independent developers, the shift presents a more nuanced trade-off. While indie creators technically gain the same rights to direct users off-platform, external checkouts introduce conversion friction compared to Apple's seamless, one-click FaceID payment option. Furthermore, taking payments off-platform forces smaller studios to assume new operational costs, including credit card processing fees, fraud management, and global tax compliance, which can quickly offset any potential savings. For many boutique developers, paying a platform commission remains a worthwhile trade-off for Apple's pre-existing infrastructure.

Future Outlook

Looking forward, the global App Store environment appears likely to transition away from a single, unified worldwide platform toward a fragmented, region-specific operational model.

Judge Gonzalez Rogers noted that Apple "is near the precipice of substantial market power" which poses a warning that their pricing power is subject to future changes with stronger evidence. With the anticipation of future lawsuits from other developers and increasing regulatory mandates from various jurisdictions around the world, Apple will be forced to adapt its policies on a market-by-market basis. In the near future, developers will need to navigate a landscape where certain jurisdictions permit full third-party app store distribution and alternative payment methods, while others operate under modified fee structures. To compensate for lost transaction fees, it's possible that Apple will begin steadily shifting its revenue strategy toward core technology fees and security notarization services rather than a simple commission fee. Consequently, developers looking to increase their independence in this new environment must build more dynamic, geographically differentiated applications capable of adapting payment routes, user interface messaging, and legal compliance flows depending on where their users reside. Alternatively, Apple's established infrastructure may entice developers to endure its 30% commission fees in exchange for its ease-of-use and global customer-base. However, one fact is inescapable for developers. In this new era, maintaining a compliant global mobile app will require far more legal oversight and technical agility than ever before.

Conclusion

The Epic Games v. Apple litigation represents a pivotal moment in digital platform economics. While Epic failed to prove Apple was a monopolist, the case exposed the foundations of platform pricing power and created conditions for its gradual erosion. Apple retained its 30% commission and exclusive distribution control, but the anti-steering ruling, global regulatory momentum, and changed industry conversation have permanently altered platform monetization.

For platform owners, the case demonstrates that pricing power derived from distribution control is valuable but not invulnerable. Legal challenge, regulatory scrutiny, and coordinated developer resistance can constrain even the most powerful platforms.

For complementors, the case illustrates that challenging platform pricing requires sustained, coordinated effort across legal, regulatory, and public relations fronts—and that even "losing" can produce meaningful victories. The combination of litigation, coalition-building, and public campaigns created pressure that no single strategy could achieve alone.

Whether platforms evolve toward more equitable value distribution or maintain extractionary pricing models depends on continued coordinated action by complementors, sustained regulatory attention, and legal precedents that balance platform rights with ecosystem fairness. As Sweeney concluded: "If we don't fight for our rights where we stand, we'll eventually run out of places to retreat to, and by then we'll be too weak and divided to win. This is why developers need to fight the store monopolies HERE and NOW!"

References

Wu, A., Zhang, M., & Zhang, C. (2022). Epic Games: Nineteen Eighty-Fortnite (Case No. 9-721-395). Harvard Business School Publishing.

CBC News. (2021, September 10). Apple ordered to loosen App Store grip as critics call for reform.

Fenwick. (2021, September 16). Mixed Ruling on Epic's Antitrust Challenge to Apple's App Store.

Sullivan & Cromwell. (2023, May 5). In Landmark Digital Antitrust Ruling, Ninth Circuit Largely Affirms Epic v. Apple Decision.

UPI. (2023, April 24). Appeals court sides with Apple in court battle over fees for apps.

Berkeley Law. (2021, November 4). Gatekeeping in Gaming: How Epic Games Challenged Apple's App Store Fees.

Constantine Cannon. (2021, September 20). An Epic Fail or an Epic Win for Tech Antitrust?

Sensor Tower. (2021). Apple hasn't lost its bite: Epic's court decision & revenue.

Apple App Store Review Guidelines. (2020). Section 3.1: Payments. Apple Developer Documentation.